VNET Group VNET.OQ VNET US

Global Markets Research
24 July 2026

EQUITY: TECHNOLOGY

2Q26F preview

Maintain Buy, lower TP to USD13

2Q26F preview: revenue +13% y-y with EBITDA +23% y-y

We expect VNET to record 13.2% y-y revenue growth to CNY2.76bn in 2Q26F (+2.4% q-q), including 1.2% y-y growth in retail IDC revenue, 36.4% y-y growth in wholesale IDC revenue, and flat y-y for non-IDC revenue. We estimate ~60MW net addition for utilized wholesale IT power during the quarter, largely flat q-q, which was mainly constrained by the ramp-up of domestic chip capacity, in our view. We expect the company to record 23.1% y-y growth in adjusted EBITDA to CNY902mn in 2Q26F, with 2.6pp y-y expansion in adjusted EBITDA margin to 32.7% (down 0.4pp q-q), as a result of more revenue contribution from the wholesale IDC business.

Long-term demand intact with solid backlog growth

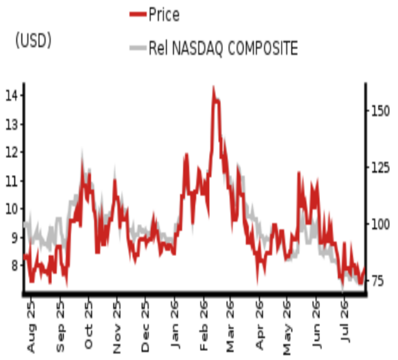
We expect solid growth in domestic AIDC demand over 2026-28F, supported by robust AI spending by key Chinese CSPs as well as fast development of domestic LLM players. We believe VNET is well positioned for its strong regional footprint in Inner Mongolia, with annual capacity delivery of 400-500GW over 2026-28F. We also expect the pricing for the company's wholesale IDC segment to stay stable-to-rising for 2027-28F, given the surging demand for domestic LLMs and agentic AI applications.

Maintain Buy with lower TP of USD13

We trim our 2026-28F revenue forecasts by 1.2-2.7%, to reflect a slower-than-expected move-in pace for CSP customers in the near term, leading to a longer revenue recognition period. On the other hand, we lift our 2026-28F forecasts for adjusted EBITDA by 0.6-1.9%, as a result of fast-growing wholesale IDC business and effective cost control. We maintain our Buy rating with lower TP of USD13, based on a DCF valuation model with a WACC of 7.0% (unchanged) and terminal growth rate of 2.0% (unchanged). Our TP implies 12.7x 2027F EV/EBITDA. The stock currently trades at 11x 2027F EV/EBITDA.

Rating Remains	Buy
Target price Reduced from USD 14.10	USD 13.00
Closing price 23 July 2026	USD 7.77
Implied upside	+67.3%
Market Cap (USD mn)	2,212.1
ADT (USD mn)	66.0

Relative performance chart



Source: LSEG, Nomura

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Year-end 31 Dec	FY25	FY26F		FY27F		FY28F	
Currency (CNY)	Actual	Old	New	Old	New	Old	New
Revenue (mn)	9,949	11,697	11,556	14,740	14,385	18,522	18,028
Reported net profit (mn)	-257	595	-1,994	874	433	1,552	707
Normalised net profit (mn)	-257	595	-1,994	874	433	1,552	707
FD normalised EPS	-96.49c	2.21	-7.41	3.25	1.61	5.77	2.63
FD norm. EPS growth (%)	-237.1	–	–	46.9	–	77.7	63.6
FD normalised P/E (x)	–	–	–	–	34.7	–	21.2
EV/EBITDA (x)	12.2	–	12.3	–	11.1	–	9.4
Price/book (x)	2.3	–	3.4	–	3.1	–	2.7
Dividend yield (%)	–	–	–	–	–	–	–
ROE (%)	-4.1	9.1	-38.1	12.0	9.7	18.2	14.0
Net debt/equity (%)	232.0	338.9	556.1	379.8	631.0	341.2	624.5

Source: Company data, Nomura estimates

Production Complete: 2026-07-24 08:05 UTC

Key data on VNET Group

Performance

(%)	1M	3M	12M		
Absolute (USD)	-7.1	-12.1	-11.1	M cap (USDmn)	2,212.1
Absolute (USD)	-7.1	-12.1	-11.1	Free float (%)	26.1
Rel to NASDAQ COMPOSITE	-5.3	-15.0	-30.7	3-mth ADT (USDmn)	66.0

Income statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	8,259	9,949	11,556	14,385	18,028
Cost of goods sold	-6,427	-7,757	-8,928	-11,042	-13,658
Gross profit	1,832	2,192	2,628	3,343	4,370
SG&A	-1,163	-1,412	-1,459	-1,682	-2,090
Employee share expense					
Operating profit	669	780	1,168	1,662	2,281
EBITDA	2,276	2,706	3,604	4,598	5,871
Depreciation	-1,503	-1,822	-2,332	-2,878	-3,532
Amortisation	-104	-104	-104	-58	-58
EBIT	669	780	1,168	1,662	2,281
Net interest expense	-373	-561	-734	-983	-1,171
Associates & JCEs	8	7	0	0	0
Other income	178	198	0	0	0
Earnings before tax	483	424	434	678	1,110
Income tax	-234	-558	-565	-102	-166
Net profit after tax	248	-133	-130	577	943
Minority interests	-65	-123	-1,863	-144	-236
Other items					
Preferred dividends	0	0	0	0	0
Normalised NPAT	183	-257	-1,994	433	707
Extraordinary items					
Reported NPAT	183	-257	-1,994	433	707
Dividends	0	0	0	0	0
Transfer to reserves	183	-257	-1,994	433	707
Valuations and ratios					
Reported P/E (x)	79.5	–	–	34.7	21.2
Normalised P/E (x)	79.5	-57.9	-7.5	34.7	21.2
FD normalised P/E (x)	79.5	–	–	34.7	21.2
Dividend yield (%)	–	–	–	–	–
Price/cashflow (x)	7.3	7.7	6.4	4.8	3.7
Price/book (x)	2.3	2.3	3.4	3.1	2.7
EV/EBITDA (x)	11.6	12.2	12.3	11.1	9.4
EV/EBIT (x)	39.1	42.1	38.1	30.6	24.3
Gross margin (%)	22.2	22.0	22.7	23.2	24.2
EBITDA margin (%)	27.6	27.2	31.2	32.0	32.6
EBIT margin (%)	8.1	7.8	10.1	11.6	12.7
Net margin (%)	2.2	-2.6	-17.3	3.0	3.9
Effective tax rate (%)	48.5	131.5	130.0	15.0	15.0
Dividend payout (%)	0.0	–	–	0.0	0.0
ROE (%)	3.0	-4.1	-38.1	9.7	14.0
ROA (pretax %)	2.3	2.3	2.7	3.2	3.9
Growth (%)					
Revenue	11.4	20.5	16.1	24.5	25.3
EBITDA		18.9	33.2	27.6	27.7
Normalised EPS		-237.1	–	–	63.6
Normalised FDEPS		-237.1	–	–	63.6

Source: Company data, Nomura estimates

Cashflow statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	2,276	2,706	3,604	4,598	5,871
Change in working capital	3,111	1,281	32	-381	-505
Other operating cashflow	-3,381	-2,068	-1,279	-1,065	-1,318
Cashflow from operations	2,005	1,919	2,357	3,152	4,049
Capital expenditure	-4,924	-7,657	-11,350	-9,000	-8,100
Free cashflow	-2,918	-5,738	-8,993	-5,848	-4,051
Reduction in investments					
Net acquisitions	205	707	-187	-187	-187
Dec in other LT assets					
Inc in other LT liabilities					
Adjustments	328	-1,062	0	0	0
CF after investing acts	-2,385	-6,093	-9,180	-6,035	-4,238
Cash dividends					
Equity issue	0	0	0	0	0
Debt issue	2,751	4,834	7,000	5,000	5,000
Convertible debt issue	-4,262	3,085	0	0	0
Others	3,145	2,206	0	0	0
CF from financial acts	1,634	10,124	7,000	5,000	5,000
Net cashflow	-751	4,031	-2,180	-1,035	762
Beginning cash	2,244	1,492	5,524	3,343	2,308
Ending cash	1,492	5,524	3,343	2,308	3,070
Ending net debt	10,182	14,426	23,607	29,642	33,880

Balance sheet (CNYmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	1,492	5,524	3,343	2,308	3,070
Marketable securities	0	0	0	0	0
Accounts receivable	1,656	2,222	2,284	2,863	3,612
Inventories	0	0	0	0	0
Other current assets	3,672	3,706	3,706	3,706	3,706
Total current assets	6,820	11,452	9,333	8,877	10,388
LT investments	0	0	0	0	0
Fixed assets	17,217	22,776	31,794	37,915	42,483
Goodwill	0	0	0	0	0
Other intangible assets	1,404	2,005	2,096	2,233	2,370
Other LT assets	6,916	8,362	8,354	8,346	8,338
Total assets	32,357	44,594	51,577	57,372	63,580
Short-term debt	2,009	3,232	3,232	3,232	3,232
Accounts payable	709	742	835	1,033	1,278
Other current liabilities	6,625	8,474	8,474	8,474	8,474
Total current liabilities	9,343	12,447	12,540	12,738	12,983
Long-term debt	7,767	11,580	18,580	23,580	28,580
Convertible debt	1,898	5,139	5,139	5,139	5,139
Other LT liabilities	6,428	6,864	6,864	6,864	6,864
Total liabilities	25,436	36,030	43,123	48,321	53,565
Minority interest	555	2,346	4,209	4,353	4,589
Preferred stock	0	0	0	0	0
Common stock	17,299	17,360	17,380	17,400	17,420
Retained earnings	-10,860	-11,126	-13,119	-12,687	-11,979
Proposed dividends					
Other equity and reserves	-73	-16	-16	-16	-16
Total shareholders' equity	6,366	6,218	4,245	4,697	5,425
Total equity & liabilities	32,357	44,594	51,577	57,371	63,579
Liquidity (x)					
Current ratio	0.73	0.92	0.74	0.70	0.80
Interest cover	1.8	1.4	1.6	1.7	1.9
Leverage					
Net debt/EBITDA (x)	4.47	5.33	6.55	6.45	5.77
Net debt/equity (%)	159.9	232.0	556.1	631.0	624.5
Per share					
Reported EPS (CNY)	70.38c	-96.49c	-7.41	1.61	2.63
Norm EPS (CNY)	70.38c	-96.49c	-7.41	1.61	2.63
FD norm EPS (CNY)	70.38c	-96.49c	-7.41	1.61	2.63
BVPS (CNY)	24.46	23.37	15.78	17.46	20.16
DPS (CNY)	0.00	0.00	0.00	0.00	0.00
Activity (days)					
Days receivable	74.5	71.1	71.2	65.3	65.7
Days inventory	0.0	0.0	0.0	0.0	
Days payable	39.9	34.1	32.2	30.9	31.0
Cash cycle	34.6	37.0	38.9	34.4	34.8

Source: Company data, Nomura estimates

Company profile

VNET develops and operates internet data centers (IDCs) in China. The company provides colocation, managed hosting and consulting services to cloud services providers, internet companies, financial institutions and other large domestic private sector or multinational corporations.

Valuation Methodology

Our target price of USD13.00 is based on a DCF valuation model. We assume a WACC of 7.0% and terminal growth rate of 2.0%. Cash flows are discounted back to end-2026F. Our TP implies 12.7x 2027F EV/EBITDA. The benchmark index is NASDAQ.

Risks that may impede the achievement of the target price

Downside risks include: (1) slower-than-expected ramp-up of utilization rates for newly-built data centers; and (2) faster-than-expected decline in MRR on intensified market competition.

ESG

VNET has been focusing on building IDCs with industry-leading standards to maximize the energy utilization. The company also targets to increase the usage of renewable energy to power its data centers.

Fig. 1: VNET – 2Q26F earnings preview

(CNY mn)	1Q25 Actual	2Q25 Actual	3Q25 Actual	4Q25 Actual	1Q26 Actual	2Q26F Forecast	3Q26F Forecast	4Q26F Forecast	% change y-y	% change q-q
Net revenue	**2,246**	**2,434**	**2,582**	**2,687**	**2,691**	**2,757**	**2,901**	**3,207**	13.2%	2.4%
y-y	18.3%	22.1%	21.7%	19.6%	19.8%	13.2%	12.4%	19.3%		
COGS	(1,681)	(1,886)	(2,043)	(2,147)	(2,075)	(2,159)	(2,272)	(2,422)	14.4%	4.0%
Gross Profit	**565**	**548**	**539**	**540**	**616**	**598**	**629**	**785**	9.1%	-2.9%
y-y	37.6%	28.9%	9.6%	7.0%	8.9%	9.1%	16.7%	45.2%		
Adjusted cash gross profit	**968**	**1,062**	**1,051**	**1,138**	**1,211**	**1,180**	**1,213**	**1,376**	11.1%	-2.6%
y-y	26.4%	34.9%	22.1%	23.1%	25.1%	11.1%	15.4%	20.9%		
Sales and marketing expenses	(64)	(70)	(71)	(74)	(54)	(60)	(64)	(89)	-13.5%	12.7%
General and administrative expenses	(180)	(212)	(186)	(219)	(162)	(194)	(204)	(192)	-8.7%	19.4%
R&D expenses	(44)	(68)	(71)	(79)	(74)	(76)	(80)	(90)	12.8%	2.4%
Operating profit / (loss)	**249**	**173**	**206**	**153**	**247**	**262**	**266**	**393**	51.5%	6.2%
Depreciation and amortization	427	550	550	644	638	625	625	548		
Share-based compensation	6	9	2	8	7	5	5	3		
Others	0	0	0	0	0	10	20	20		
Adjusted EBITDA	**682**	**732**	**758**	**805**	**892**	**902**	**916**	**964**	23.1%	1.2%
y-y	*26.4%*	*27.7%*	*27.5%*	*11.6%*	*30.6%*	*23.1%*	*20.8%*	*19.8%*		
Finance costs (net)	(94)	(141)	(142)	(184)	(211)	(190)	(171)	(163)		
Foreign exchange gain (loss)	10	-	-	-	36	-	-	-		
Profit before taxation	**(168)**	**112**	**(254)**	**734**	**41**	**73**	**96**	**225**		
Taxation	(52)	(95)	(21)	(389)	(486)	(18)	(24)	(36)		
Net profit	**(220)**	**17**	**(275)**	**345**	**(445)**	**54**	**72**	**189**		
Non-controlling interest	(17)	(29)	(32)	(46)	(1,785)	(14)	(18)	(47)		
Profit for owners of the company	**(238)**	**(12)**	**(307)**	**300**	**(2,229)**	**41**	**54**	**141**		
Key ratios										
Adjusted GPM	43.1%	43.6%	40.7%	42.3%	45.0%	42.8%	41.8%	42.9%	-0.8pp	-2.2pp
OPEX-to-Sales	12.8%	14.4%	12.7%	13.8%	10.8%	12.0%	12.0%	11.5%	-2.4pp	1.2pp
Adjusted EBITDA margin	30.4%	30.1%	29.4%	30.0%	33.1%	32.7%	31.6%	30.1%	2.6pp	-0.4pp

Source: Company data, Nomura estimates

Fig. 2: VNET – earnings forecast revisions

(CNY mn)	2024 Actual	2025 Actual	2026F Forecast	2027F Forecast	2028F Forecast	2026F Forecast	2027F Forecast	2028F Forecast	2026F Diff.	2027F Diff.	2028F Diff.
Net revenue	**8,259**	**9,949**	**11,556**	**14,385**	**18,028**	**11,697**	**14,740**	**18,522**	-1.2%	-2.4%	-2.7%
y-y	*11.4%*	*20.5%*	*16.1%*	*24.5%*	*25.3%*	*17.6%*	*26.0%*	*25.7%*			
COGS	(6,427)	(7,757)	(8,928)	(11,042)	(13,658)	(9,061)	(11,344)	(14,069)			
Gross Profit	**1,832**	**2,192**	**2,628**	**3,343**	**4,370**	**2,636**	**3,396**	**4,453**			
y-y	*41.8%*	*19.7%*	*19.8%*	*27.2%*	*30.7%*	*20.2%*	*28.8%*	*31.1%*			
Adjusted cash gross profit	**3,337**	**4,218**	**4,980**	**6,271**	**7,950**	**5,018**	**6,397**	**8,130**	-0.7%	-2.0%	-2.2%
y-y	*12.1%*	*26.4%*	*18.1%*	*25.9%*	*26.8%*	*19.0%*	*27.5%*	*27.1%*			
Sales and marketing expenses	(264)	(279)	(266)	(346)	(434)	(305)	(384)	(464)			
General and administrative expenses	(659)	(797)	(752)	(951)	(1,192)	(902)	(1,136)	(1,409)			
R&D expenses	(247)	(261)	(321)	(385)	(464)	(284)	(298)	(356)			
Operating profit / (loss)	**669**	**780**	**1,168**	**1,662**	**2,281**	**1,146**	**1,577**	**2,223**			
Depreciation and amortization	1,598	1,926	2,435	2,936	3,590	2,435	2,935	3,574			
Share-based compensation	149	26	20	20	20	20	20	20			
Others	14	246	50	100	100	50	100	100			
Adjusted EBITDA	**2,430**	**2,978**	**3,674**	**4,718**	**5,991**	**3,651**	**4,632**	**5,917**	0.6%	1.9%	1.2%
y-y	*19.1%*	*22.6%*	*23.4%*	*28.4%*	*27.0%*	*22.6%*	*26.9%*	*27.8%*			
Finance costs (net)	(373)	(561)	(734)	(983)	(1,171)	(734)	(972)	(1,147)			
Foreign exchange gain (loss)	(19)	6	-	-	-	-	-	-			
Profit before taxation	**483**	**424**	**434**	**678**	**1,110**	**412**	**605**	**1,076**			
Taxation	(234)	(558)	(565)	(102)	(166)	(103)	(151)	(269)			
Net profit	**248**	**(133)**	**(130)**	**577**	**943**	**309**	**454**	**807**			
Non-controlling interest	(65)	(123)	(1,863)	(144)	(236)	286	420	746			
Profit for owners of the company	**183**	**(257)**	**(1,994)**	**433**	**707**	**595**	**874**	**1,552**			
Key ratios											
Adjusted GPM	40.4%	42.4%	43.1%	43.6%	44.1%	42.9%	43.4%	43.9%	0.2pp	0.2pp	0.2pp
OPEX-to-Sales	14.2%	13.4%	11.6%	11.7%	11.6%	12.7%	12.3%	12.0%	-1.2pp	-0.6pp	-0.4pp
Adjusted EBITDA margin	29.4%	29.9%	31.8%	32.8%	33.2%	31.2%	31.4%	31.9%	0.6pp	1.4pp	1.3pp
KPI											
Wholesale IT power (MW)	486	889	1,343	1,743	2,143	*1,342*	*1,742*	*2,042*			
Utilization %	*72.6%*	*70.1%*	*68.2%*	*81.7%*	*89.5%*	*69.6%*	*84.7%*	*93.8%*			
Number of retail cabinets deployed	52,107	49,863	50,263	50,363	50,453	*49,963*	*50,063*	*50,153*			
Utilization %	63.5%	66.4%	67.0%	67.4%	67.4%	*68.1%*	*69.2%*	*70.2%*			
Retail MRR per cabinet (CNY/month)	8,769	9,045	9,045	9,045	9,045	9,045	9,045	9,045			
y-y	*-0.9%*	*3.1%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*			

Source: Company data, Nomura estimates

Valuation methodology and risks

Our target price of USD13.00 is based on a DCF valuation model. We assume a WACC of 7.0% and terminal growth rate of 2.0%. Cash flows are discounted back to end-2026F. Our TP implies 12.7x 2027F EV/EBITDA.

Fig. 3: VNET – DCF valuation

CNYmn	2023	2024	2025F	2026F	2027F	2028F	2029F	2030F	2031F	2032F	2033F	2034F	2035F	Terminal
Period					1	2	3	4	5	6	7	8	9	
Revenue	7,413	8,259	9,949	11,556	14,385	18,028	21,114	24,169	27,224	30,279	33,308	36,337	39,367	
Profit after tax	(2,644)	183	(257)	(1,994)	433	707	1,092	1,373	1,683	2,019	2,366	2,711	3,098	
Operating cash flow	2,063	2,005	1,919	2,357	3,152	4,049	5,125	5,967	6,782	7,591	8,400	9,192	10,029	
CAPEX	(2,967)	(4,924)	(7,657)	(11,350)	(9,000)	(8,100)	(7,290)	(6,561)	(5,905)	(5,314)	(5,208)	(5,104)	(5,002)	
FCF	(904)	(2,918)	(5,738)	(8,993)	(5,848)	(4,051)	(2,165)	(594)	878	2,277	3,192	4,088	5,027	102,614
	130%	*223%*	*97%*	*57%*	*-35%*	*-31%*	*-47%*	*-73%*	*-248%*	*159%*	*40%*	*28%*	*23%*	
Discount factor					0.93	0.87	0.82	0.76	0.71	0.67	0.62	0.58	0.54	0.54
PV					(5,466)	(3,539)	(1,767)	(453)	626	1,518	1,988	2,380	2,735	55,829

Assumptions	
Risk-free rate	1.7%
Market risk premium	12.4%
Beta	1.1
Terminal growth rate	2.0%
WACC	7.0%

PV of corporate value		53,849
+ cash		3,343
- borrowing		(28,952)
- minority interest		(2,498)
PV of equity value		25,744
# of ADS outstanding		285
USDCNY		6.90
Valuation	CNY	90

USD
13.0

Source: Company data, Nomura estimates

Downside risks include: (1) slower-than-expected ramp-up of utilization rates for newly built data centers; and (2) faster-than-expected decline in MRR on intensified market competition.

Appendix A-1

This report has been produced by Nomura International (Hong Kong) Ltd. (NIHK), Hong Kong.
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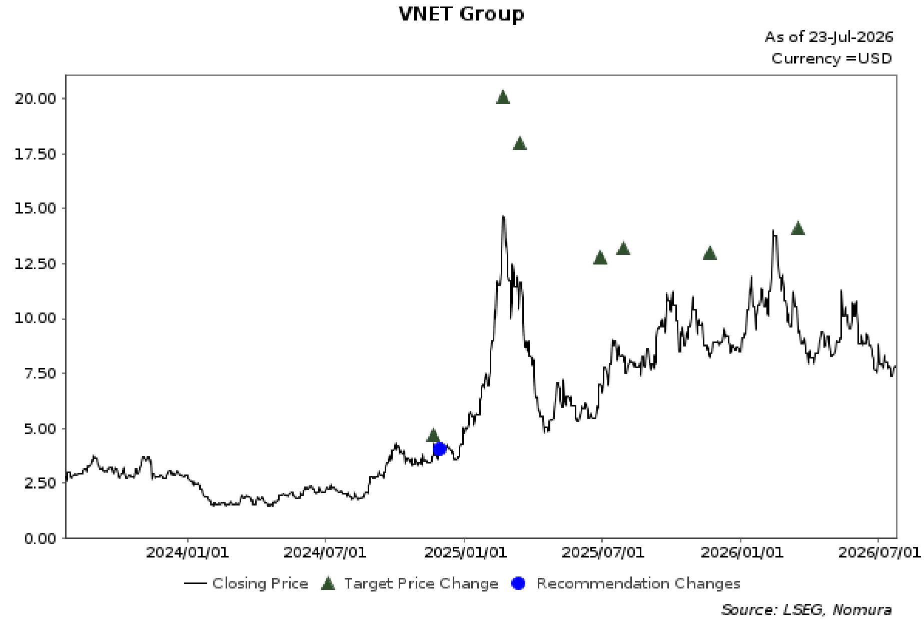
Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
VNET Group	VNET US	USD 7.77	23-Jul-2026	Buy	N/A	

VNET Group (VNET US) **USD 7.77 (23-Jul-2026)** Buy (Sector rating: N/A)

Rating and target price chart (three year history)



Date	Rating	Target price	Closing price
17-Mar-26		14.10	9.33
20-Nov-25		13.00	8.22
29-Jul-25		13.20	8.28
29-Jun-25		12.80	6.98
14-Mar-25		18.00	11.65
21-Feb-25		20.10	14.59
21-Nov-24	Buy		4.33
21-Nov-24		4.70	4.33

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our target price of USD13.00 is based on a DCF valuation model. We assume a WACC of 7.0% and terminal growth rate of 2.0%. Cash flows are discounted back to end-2026F. Our TP implies 12.7x 2027F EV/EBITDA. The benchmark index is NASDAQ.
Risks that may impede the achievement of the target price Downside risks include: (1) slower-than-expected ramp-up of utilization rates for newly-built data centers; and (2) faster-than-expected decline in MRR on intensified market competition.

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